FUTUREPROOF FINANCIAL

Wholesale Funder Investment Memorandum

Equity Preservation Mortgage — Capital Deployment Opportunity
Secured Lending with Performance Upside

CONFIDENTIAL & PROPRIETARY

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www.futureprooffinancial.co

1. Executive Summary

FutureProof Financial invites wholesale capital providers to participate in the origination of **Equity Preservation Mortgages (EPM)** — a secured lending product backed by residential property with investment-linked performance upside.

Unlike traditional mortgage lending where the funder's return is limited to the interest spread, EPM wholesale funders receive **both** a contractual interest rate (benchmark + margin) **and** a 50% share of the investment surplus at loan maturity. This creates a return profile that combines the safety of secured property lending with the upside of equity market participation.

Investment Proposition: Deploy capital into first-lien residential mortgages at up to 80% LTV. Receive contractual interest payments throughout the loan term, plus 50% of the investment surplus at maturity. Mean surplus at Year 30 is $1,690,289 — funder's share averaging $845,000 per mortgage on $1.35M deployed.

80%	$1.69M	0.55%	50/50
Max LTV	Mean Surplus	Portfolio PoC	Surplus Split

2. Product Overview

The Equity Preservation Mortgage is a first-lien residential mortgage where the loan proceeds are invested in a diversified portfolio rather than consumed by the borrower. The homeowner receives guaranteed monthly income (funded by investment returns), and the mortgage is repaid from the investment account at maturity or property sale.

Key Product Features

Feature	Specification
Security	First-lien registered mortgage over residential property
Maximum LTV	80% (effective LTV typically 67.5% at origination)
Loan Terms	10, 15, 20, 25, or 30 years
Investment Portfolio	BlackRock volatility-controlled ETFs + SpiderRock dynamic hedging (±20% collar)
Borrower Income	1.05–1.50% of property value p.a. (guaranteed)
No Negative Equity Guarantee	100% — borrower equity always preserved
Property Types	Primary residences, $500K+ (varies by jurisdiction)
Jurisdictions	Australia, New Zealand, United Kingdom, United States

How Funder Capital Is Used

When a borrower is approved for an EPM, the wholesale funder's capital is deployed as follows:

- **Loan origination:** Capital funds the mortgage (up to 80% LTV of property value)
- **Investment:** Loan proceeds immediately invested in the designated portfolio
- **Annuity payments:** Monthly income paid to borrower from investment returns
- **Funder interest:** Wholesale interest (benchmark + margin) accrued and capitalised
- **Maturity:** Investment account liquidated, mortgage repaid, surplus split 50/50

3. Return Profile

Wholesale funders receive returns through **two channels**:

Channel 1: Contractual Interest

A fixed spread above the applicable benchmark rate, accrued over the loan term:

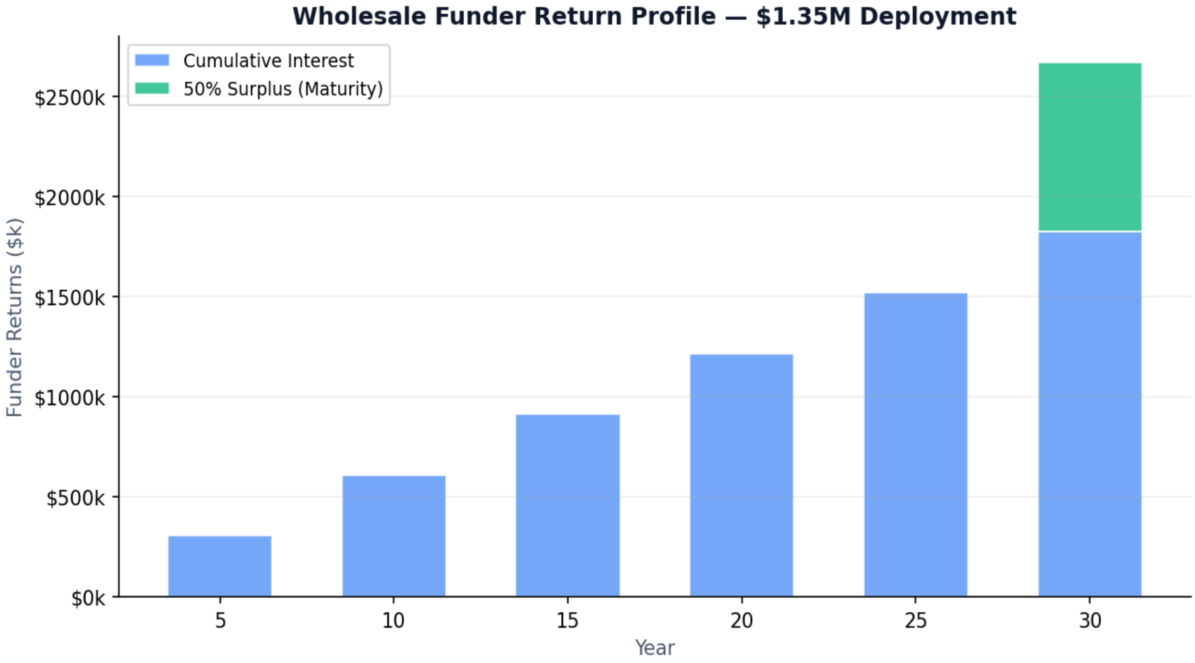
Component	Typical Rate	Annual on $1.35M	30-Year Total
Benchmark Rate	4.00%	$54,000	$1,620,000
Margin	0.50%	$6,750	$202,500
Total Interest	**4.50%**	**$60,750**	**$1,822,500**

Note: Interest is capitalised (not paid from investment proceeds). The funder receives interest payments from the investment account at scheduled intervals or at maturity.

Channel 2: Surplus Share at Maturity

At loan maturity, after the mortgage balance and all accrued costs are repaid from the investment account, the remaining surplus is split **50/50 between FutureProof and the wholesale funder**.

Metric	Value
Mean Investment at Year 30	$1,599,221 (after wind-up)
Mean Surplus (after all costs)	$1,690,289
Funder's 50% Share	~$845,000
Median Surplus	$1,376,802
P90 Surplus (upside)	$4,017,354 → Funder share ~$2.0M
P10 Surplus (downside)	-$211,973 → Covered by insurance layers



Combined Return (Mean): On a $1.35M deployment over 30 years, the funder receives ~$1.82M in interest plus ~$845K in surplus share = **~$2.67M total return** on $1.35M deployed capital. This represents a blended annualised return of approximately **7-8% p.a.** — significantly above traditional secured lending rates.

4. Risk Framework & Capital Protection

The wholesale funder's capital is protected by multiple layers of risk mitigation, validated through 50,000-path Monte Carlo simulation:

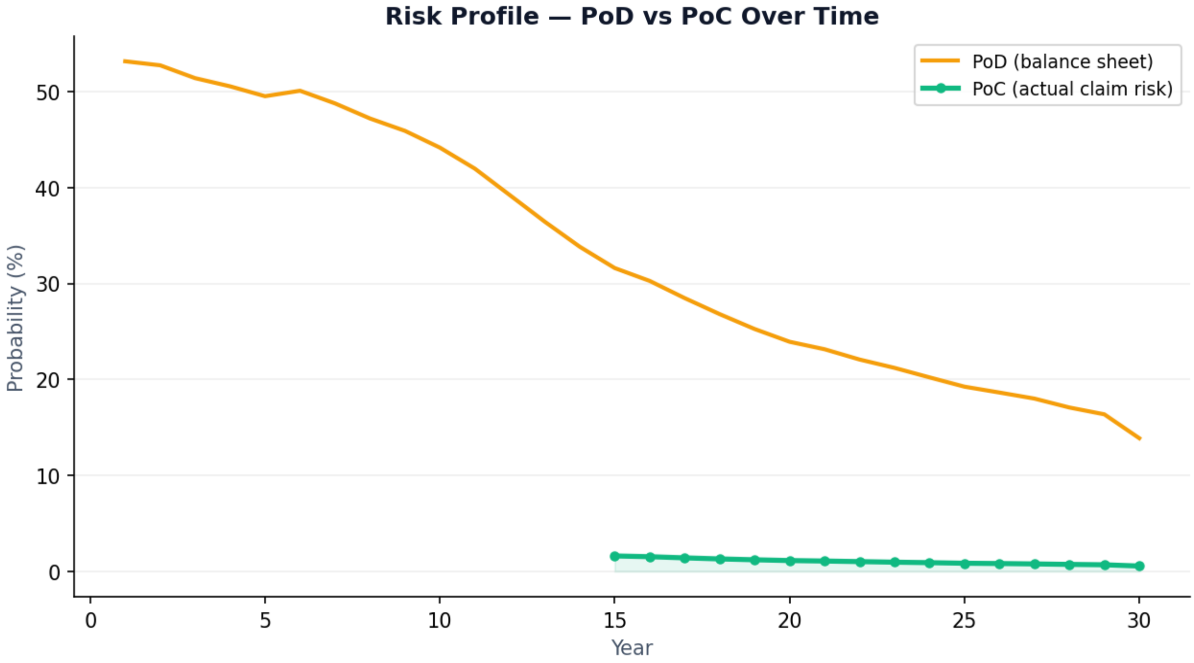
Eight-Layer Defence System

Layer	Mechanism	Effect on Funder Risk
0	Mortgage Offset Account	Pre-funded ~30% prudential buffer absorbs early-period losses
1	Prudential Capital Buffer	Vintage diversification — mixed cohorts reduce crash exposure
2	Volatility Control (BlackRock)	Dynamic equity/cash allocation limits drawdown severity
3	Dynamic Hedging (SpiderRock)	±20% collar — caps annual loss at 20% per year
4	Lender's Mortgage Insurance	90% of any deficit at expiry covered by LMI
5	Interest Holidays	Compound recovery during downturns — no forced selling
6	Payments Waterfall	Cross-subsidise from surplus loans before any claim
7	Portfolio Reinsurance	Tail risk (worst 10%) transferred to reinsurer

Key Risk Metrics

Metric	Individual Loan	Portfolio Level	Significance
PoD (Year 30)	13.87%	—	Balance sheet snapshot — NOT claim risk
PoC (Year 30)	—	0.55%	ACTUAL claim probability after waterfall
Conditional Deficit	-$592,400	—	Average deficit IF shortfall occurs
LMI Coverage	90%	90%	Insurer covers 90% of any deficit
Net Funder Exposure	—	<0.06%	After LMI + reinsurance
Fair Insurance Cost	$21,953	—	PV of expected loss (1.6% of loan)

The critical insight: PoD (13.87%) is a balance sheet metric — it measures how often the investment account is below the loan balance at a point in time. **PoC (0.55%)** is the metric that matters for funders — it measures how often an actual insurance claim occurs on an expiring loan, after the Payments Waterfall has cross-subsidised from surplus loans in the portfolio.

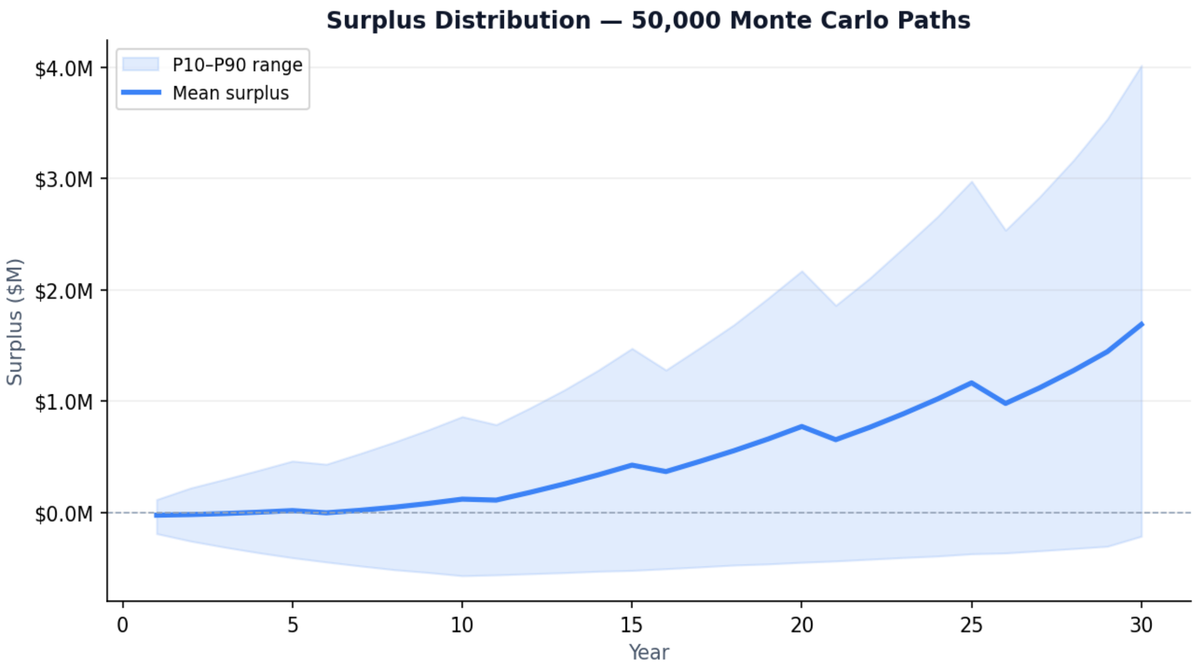

Risk Profile — PoD vs PoC Over Time
PoD (balance sheet)
PoC (actual claim risk)
Probability (%)
Year
0
10
20
30
40
50
0
5
10
15
20
25
30

5. Surplus Distribution Analysis

The following table shows the distribution of surplus outcomes across 50,000 simulated paths. The funder receives 50% of the surplus at maturity (Year 30):

Percentile	Surplus	Funder 50% Share	Outcome
P1 (Worst 1%)	-$1,467,735	Covered by LMI/Reinsurance	Insurance claim
P5	-$653,596	Covered by LMI/Reinsurance	Insurance claim
P10	-$211,973	Covered by LMI/Reinsurance	Insurance claim
P25	$457,103	$228,552	Modest surplus
Median (P50)	$1,376,802	$688,401	Typical outcome
Mean	$1,690,289	$845,145	Expected outcome
P75	$2,615,818	$1,307,909	Strong performance
P90	$4,017,354	$2,008,677	Very strong performance
P95	$5,029,172	$2,514,586	Excellent performance
P99 (Best 1%)	$7,318,739	$3,659,370	Exceptional performance

86.13% of all simulated paths end in surplus. In deficit scenarios (13.87% of paths), the Payments Waterfall and insurance layers protect the funder from loss.



6. Funder Pool Structure

Wholesale funders deploy capital through **Funder Pools** — ring-fenced capital allocations managed through the FutureProof platform:

Pool Management Features

- **Real-time dashboard:** Track capital deployment, utilisation rates, contract performance, and P&L; across all pools
- **Multi-currency support:** AUD, USD, GBP, NZD — deploy capital in your preferred currency
- **Lender assignment:** Choose which lenders can access your capital pools
- **Benchmark + margin pricing:** Set your own benchmark rate and margin for each pool
- **Allocation tracking:** Per-contract capital allocation with real-time utilisation monitoring
- **Webhook notifications:** Automated event notifications (contract signed, distribution processed, etc.)
- **Audit trail:** Complete version history and change tracking on all pool operations

Example Pool Configuration

Parameter	Example Value
Pool Name	APAC Growth Pool - 2025
Committed Capital	$50,000,000
Benchmark Rate	4.00% (linked to 10yr govt bond)
Margin	0.50%
Effective Rate	4.50%
Target Utilisation	80-90%
Eligible Regions	Australia, New Zealand
Min Property Value	$750,000
Max Single Exposure	$3,000,000

7. Cost Structure Transparency

The EPM has a total annual variable cost of 3.20% applied to the loan balance. This is fully transparent and embedded in the Monte Carlo simulation:

Cost Component	Annual Rate	Purpose	Paid To
Wholesale Margin	2.00%	Cost of funds spread	Wholesale Funder

Cost Component	Annual Rate	Purpose	Paid To
Retail Margin	0.70%	Lender NIM	Lender
FP Management Fee	0.25%	Platform operation	FutureProof
Hedging / Rebalancing	0.25%	Investment protection	Investment Manager
Total Variable Cost	**3.20%**		

Additionally, upfront costs of 1.6% (LMI) + 0.1% (reinsurance) are deducted from the loan at origination. All costs are modelled in the Monte Carlo simulation — the surplus figures presented already account for the full cost structure.

8. Insurance & Sensitivity Analysis

Insurance Pricing

Lender's Mortgage Insurance (LMI) is priced using the Monte Carlo simulated expected loss:

Metric	Value	Notes
Fair Premium (PV)	$21,953	Discounted at 4.75% (30yr T-bond)
Loaded Premium (1.5x)	$32,929	Standard insurer loading
Premium as % of Loan	1.6%	Deducted at origination
Conditional Expected Deficit	-$592,400	Average loss IF deficit occurs
LMI Coverage	90%	90% of deficit covered
Reinsurance (Tail Risk)	0.1%	Worst 10% quantile transferred

Parameter Sensitivity

The following table shows how key outcomes vary across different property values, LTV ratios, and annuity levels (based on 10,000-path simulation per scenario):

Scenario	Loan	PoD (Yr 30)	Mean Surplus	Funder Share
$2M / 60% LVR / $20K ann.	$1.2M	12.46%	$1,552k	$776k
$2M / 80% LVR / $25K ann.	$1.6M	13.87%	$1,690k	$845k
$2.5M / 70% LVR / $20K ann.	$1.75M	9.50%	$2,371k	$1,186k
$3M / 80% LVR / $15K ann.	$2.4M	6.97%	$3,635k	$1,818k
$3M / 80% LVR / $20K ann.	$2.4M	7.80%	$3,537k	$1,769k

Larger properties with lower annuity-to-loan ratios produce the best risk-adjusted outcomes. The optimal configuration (from fine optimisation analysis) achieves PoD of 4.4% and mean surplus of $3.83M.

9. Interest Holiday Mechanism

When the investment account falls below 90% of the initial loan amount, the contract enters an **interest holiday**. During this period, no interest is charged to the investment account, allowing compound growth to recover the position. Interest resumes when the account exceeds 145.8% of the initial loan.

Holiday Metric	Value
Paths with zero holidays	48.3% (24,162 of 50,000)
Mean holidays per loan	4.62 years (of 30)
Peak holiday incidence	Year 6: 34.1% of paths on holiday
Holiday by Year 30	7.4% of paths still on holiday
Median holidays	4 years
P95 holidays	16 years

The holiday mechanism is a key risk management feature — it prevents forced selling of investments during market downturns and allows compound growth to naturally restore the surplus position. Nearly half of all paths require zero holidays.

10. Platform & Compliance

The FutureProof platform provides wholesale funders with complete visibility into their capital deployment through a dedicated portal:

Funder Portal Features

- **Capital deployment dashboard:** Real-time view of all pools, contracts, and utilisation
- **Per-contract P&L;:** Investment return, cost of capital, and net P&L; for each funded mortgage
- **Risk monitoring:** Individual and portfolio risk metrics, holiday status, performance alerts
- **Distribution tracking:** All borrower payments, profit share distributions, and maturity events
- **Compliance reporting:** KYC/AML status, audit logs, regulatory documentation per jurisdiction
- **Webhook integration:** Automated notifications for contract events, distributions, and alerts

Regulatory Framework

Jurisdiction	Regulator	Licence Required	Consumer Protection
Australia	ASIC	AFSL	NCCPA, Corporations Act 2001
New Zealand	FMA	FAP Licence	FMCA 2013, AML/CFT Act 2009
United Kingdom	FCA	FCA Authorisation	MCD, Consumer Rights Act 2015
United States	CFPB	NMLS	TILA, RESPA, Dodd-Frank

11. Next Steps

We invite qualified wholesale capital providers to explore a partnership with FutureProof Financial. The engagement process is straightforward:

- **Step 1:** Platform demonstration — review the funder portal, dashboards, and risk analytics
- **Step 2:** Pool structuring — define pool parameters (size, rate, regions, eligibility)
- **Step 3:** Legal documentation — wholesale funder agreement (jurisdiction-specific, already templated)
- **Step 4:** Capital deployment — fund the pool and begin origination

FutureProof Financial

Secured lending with investment upside. Eight-layer risk protection. Monte Carlo validated. Multi-jurisdiction platform.

Contact: hello@futureprooffinancial.co
Platform: www.futureprooffinancial.co